

VERSION NO. 2	MANUAL TITLE FINANCE AND ADMINISTRATION MANUAL	DOCUMENT NO. FAM 10.2
	DOCUMENT NAME PREPARATION AND RELEASE OF PAYMENTS	REVISION NO. 1
		EFFECTIVITY DATE October 20, 2025
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1.0 OBJECTIVES

- 1.1 To provide a comprehensive reference in disbursing national government funds for authorized expenditures.
- 1.2 To establish controls in paying or settling approved obligations of the agency.

2.0 SCOPE

This section covers the rules, guidelines and procedures in the disbursement of public funds specifically payment of authorized, due and demandable obligations for payroll for salaries and other compensation of employees, common goods and services for operations, capital equipment and infrastructure projects thru any of the different modes of payment:

- Payment by Check
- Payment thru LDDAP-ADA (Manual Form, Appendix 42 of GAM Vol. II)
- Payment thru LBP eMBS Facility (Check and LDDAP-ADA)
- Payment out of Cash Advances
- Payment thru LBP Payroll System

3.0 POLICIES

3.1 The preparation and release of payments for authorized expenditures and approved obligations shall conform with the cashiering rules, procedures and policies prescribed in the Government Accounting Manual specially to cover the following:

- 3.1.1 Disbursement by Check
- 3.1.2 Disbursements thru List of Due and Demandable Accounts Payable-Advice to Debit Account (LDDAP-ADA)
- 3.1.3 Disbursements Out of Cash Advances

3.2 In the absence of detailed GAM provisions on electronic payments, PSHS shall adopt and adhere to the relevant implementing guidelines issued by the Department of Budget and Management (DBM) Circular Letter No. 2013-16 dated December 23, 2013, which implements the Expanded Modified Direct Payment Scheme (ExMDPS).



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3.3 The PSHS shall utilize the LBP eMDS Facility for the electronic processing of government disbursements, pursuant to Department of Budget and Management (DBM) Circular Letter No. 2013-16 dated December 23, 2013, which implements the Expanded Modified Direct Payment Scheme (ExMDPS) as a mode of settlement of accounts payable due the creditors/payees of all National Government Agencies (NGAs) and their Operating Units (OUs) to streamline disbursement processes. PSHS shall ensure compliance with the terms and conditions of the eMDS Facility and regularly monitor transactions to maintain the integrity of the disbursement process.

3.4 The PSHS may adopt payment of salaries and wages, allowances and other benefits of employees using the payroll system of the authorized government servicing bank.

3.5 The PSHS shall conform with the documentary requirements for payment of common government transactions which includes acquisition of common goods and services, capital equipment and infrastructure projects thru public bidding and other alternative modes of procurement by checks, cash advance, advice to debit account and other mode of payment shall be complied with in accordance with prevailing government accounting and auditing rules.

4.0 PROCEDURES

4.1 Disbursements by Check, thru Lis of Due and Demandable Accounts Payable – Advice to Debit Account (LDDAP-ADA) Manual Form, and Out of Cash Advances

- Refer to the identified procedures in the Government Accounting Manual (GAM)

4.2 Payment thru LBP eMDS Facility (Checks and LDDAP-ADA)

Responsibility	Activity
Cash / Treasury Unit	1. Receives Copies 1-4 of approved Disbursement Voucher, Copies 2-3 of ORS and SDs. Records in the logbook the date of receipt, DV number, payee, particulars and amount. 2. Logs in to the eMDS portal as Maker.



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3. Creates ACIC (Advice of Checks Issued and Cancelled) or LDDAP-ADA transaction, depending on payment method, within eMDS.

4. Prints on copy of created ACIC or LDDAP-ADA documents and submits to the Accounting Unit for review

Accounting Unit

5. Reviews the details of the ACIC or LDDAP-ADA (payee, amount, check number, ACIC number, object code) before submitting for authorization.

6. Notifies the Cash/Treasury Unit if discrepancies are found (e.g. incorrect payee name, amount). Returns the document after review.

Cash/Treasury Unit

7. If discrepancies were notes, amend the created ACIC or LDDAP-ADA and then submit the transaction for approval. If no discrepancies were found, submit the transaction for approval.

Campus
Director/Designated
Authorizer or Approver

8. Logs in to eMDS as an Authorizer, reviews the submitted transactions, and approves them.

Cash/Treasury Unit

9. After approval, prints the ACIC or LDDAP-ADA and files the approved documents for safekeeping.

5.0 LIST OF FORMS AND REPORTS

5.1 Forms
None

5.2 Reports
None



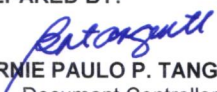
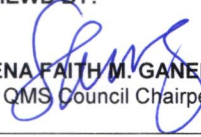
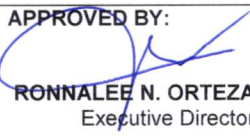
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REVISION HISTORY

DCR No.	Section	Amendment/s	Revision No.	Implementation Date
-	Complete re-write of Version 1	Original Issue and Initial Implementation	0	February 1, 2020
25-00-004	-	Added Revision History Amendment to Scope, Policies (Item 3.2 and 3.3) and Procedures (Item 4.1 and 4.2)	1	October 20, 2025



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